

4-5h Step 8. Preparing the Financial Statements

The most important outcome of the accounting cycle is the financial statements. The income statement is prepared first, followed by the statement of stockholders' equity and then the balance sheet. The statements can be prepared directly from the adjusted trial balance, the end-of-period spreadsheet, or the ledger. The net income or net loss shown on the income statement is reported on the statement of stockholders' equity along with any dividends. The ending retained earnings is reported on the balance sheet with common stock as part of stockholders' equity. Stockholders' equity is then added with total liabilities to equal total assets.

The financial statements for Kelly Consulting are shown in [Exhibit 15](#). Kelly Consulting earned net income of \$18,300 for April. As of April 30, 20Y8, Kelly Consulting has total assets of \$45,720, total liabilities of \$3,420, and total stockholders' equity of \$42,300.

Exhibit 15

Financial Statements, Kelly Consulting

Kelly Consulting Income Statement For the Month Ended April 30, 20Y8		
Fees earned.....		\$23,450
Expenses:		
Salary expense.....	\$1,620	
Rent expense.....	1,600	
Supplies expense.....	850	
Depreciation expense.....	330	
Insurance expense.....	300	
Miscellaneous expense.....	450	
Total expenses.....		(5,150)
Net income.....		<u>\$18,300</u>

Kelly Consulting Statement of Stockholders' Equity For the Month Ended April 30, 20Y8			
	Common Stock	Retained Earnings	Total

Balances, April 1, 20Y8	\$ 0	\$ 0	\$ 0
Issued common stock	30,000		30,000
Net income.		18,300	18,300
Dividends		(6,000)	(6,000)
Balances, April 30, 20Y8	<u>\$30,000</u>	<u>\$12,300</u>	<u>\$42,300</u>

Kelly Consulting Balance Sheet April 30, 20Y8			
Assets			
Current assets:			
Cash.....		\$22,100	
Accounts receivable		3,400	
Supplies		1,350	
Prepaid rent.		3,200	
Prepaid insurance		<u>1,500</u>	
Total current assets.....			\$31,550
Property, plant, and equipment:			
Office equipment.....		\$14,500	
Accumulated depreciation		<u>(330)</u>	
Total property, plant, and equipment			<u>14,170</u>
Total assets.....			<u>\$45,720</u>
Liabilities			
Current liabilities:			
Accounts payable.....		\$ 800	
Salaries payable		120	
Unearned fees.....		<u>2,500</u>	
Total liabilities.....			\$ 3,420
Stockholders' Equity			
Common stock		\$30,000	
Retained earnings		<u>12,300</u>	
Total stockholders' equity			<u>42,300</u>
Total liabilities and stockholders' equity			<u>\$45,720</u>